Why Deliveries Are Late

Root cause analysis and capability assessment
using the McKinsey 7S and Nadler Tushman models

Data period: January to June 2026

On time delivery in June	**77.9%**
Target	**95.0%**
Gap to close	**17.1 points**
Orders growth since January	**+39%**

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1. Summary

The company wants 95% of orders delivered on time. In January it was close at 91.5%, but the rate dropped every month and reached 77.9% in June. Over the same six months orders went up from 8,200 to 11,400 a month, the end of day backlog grew from 120 to 610 orders, and complaints more than doubled. The drop did not happen by chance. The data points to four main causes that work together.

- Capacity did not grow with demand. Staff numbers are planned from last quarter's average, so every month the warehouses had fewer hands than the orders needed. The backlog grew five times and on time delivery moved almost exactly with order volume.
- Delivery promises are tighter than what carriers can do. 37% of sampled orders were promised in 2 days, but average transit alone is 2.9 days. 80% of these 2 day orders were late.
- Carrier C is much slower. It takes 3.6 days in transit against 2.7 for Carrier A, and 79% of its sampled orders were late. This is true in all three warehouses, so the problem is the carrier and not the site.
- Orders wait too long inside the warehouse. Average wait before picking starts is 24.9 minutes and the queue before dispatch is 21.9 minutes, against a 15 minute benchmark. Waiting is 56% of the total warehouse time, and it is worst on the evening shift and in Lahore.

Behind these causes sit organisation problems. No single person owns delivery from order to doorstep, reports are made by hand once a week, carrier performance is not reviewed with a scorecard, and daily huddles talk about volume instead of on time delivery. The McKinsey 7S review rates Structure, Systems, Staff and Shared Values as weak. The Nadler Tushman review finds low fit between the work and the way the organisation is set up.

The plan in section 7 can close the gap in about six months. The largest gain comes from staffing each shift to the order forecast, followed by realistic promise dates, a carrier scorecard, shorter queues and a daily review led by one end to end owner.

2. The Problem in Numbers

Every operating measure moved in the wrong direction from January to June 2026. Cost per order passed the PKR 190 limit in March and reached PKR 229 in June. Customer satisfaction fell from 4.25 to 3.35 out of 5.

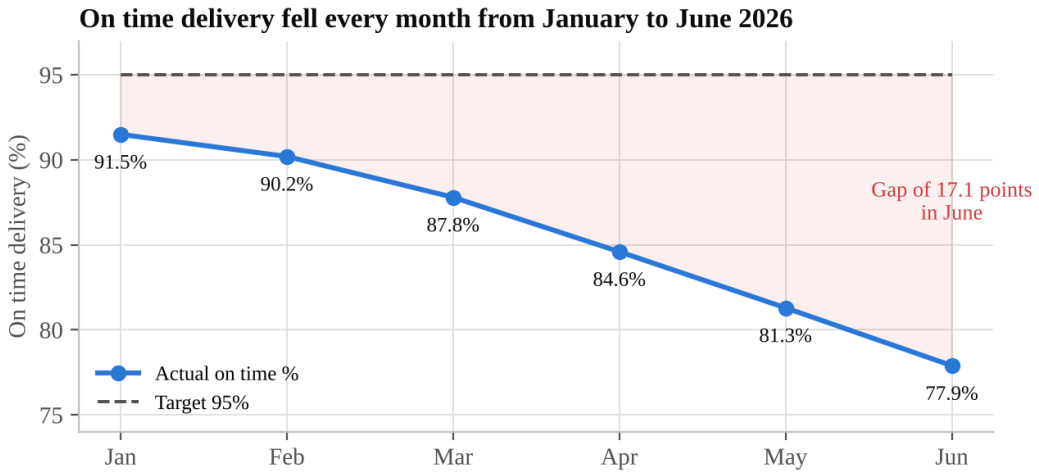


Figure 1. Monthly on time delivery against the 95% target

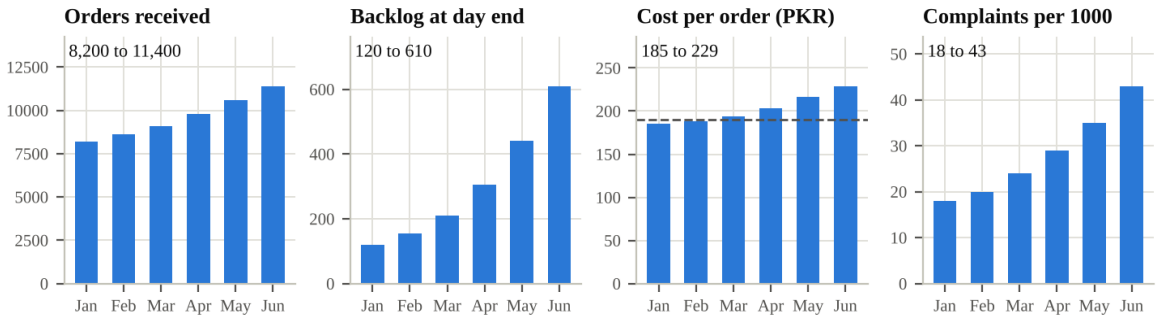


Figure 2. Orders, backlog, cost and complaints, January to June 2026 (dashed line is the cost limit)

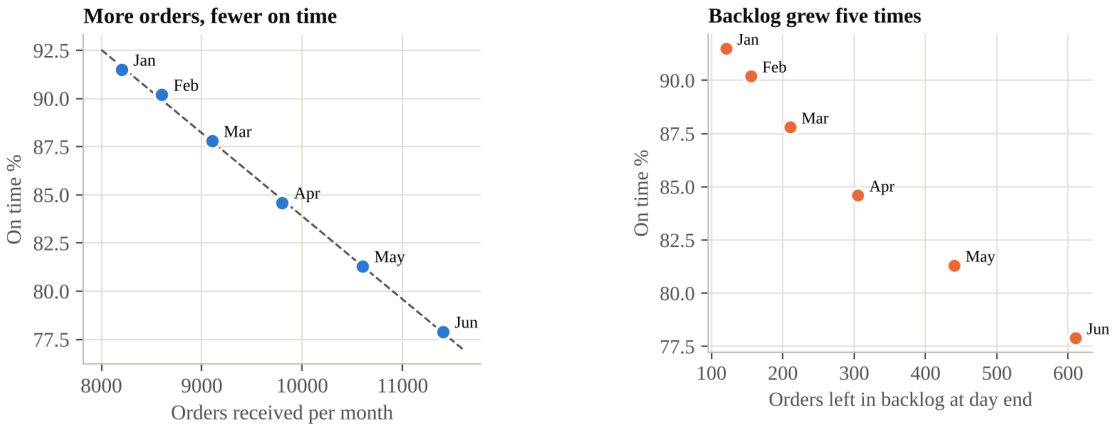


Figure 3. On time delivery against order volume (left) and against day end backlog (right)

The left chart shows the clearest link in the data. Each extra 1,000 orders a month took away about 4.2 points of on time delivery (correlation of minus 1.0 across the six months). This tells us the system works well at January volume but has no spare capacity for growth. When orders arrive faster than they can be picked and packed, they roll into the next day as backlog, and a day lost in the warehouse is a day lost against the promise.

3. Root Cause Analysis

3.1 Fishbone diagram

The fishbone diagram groups every possible cause found in the data, the process samples and the seven stakeholder interviews. Each cause was then checked against the numbers in section 3.2.

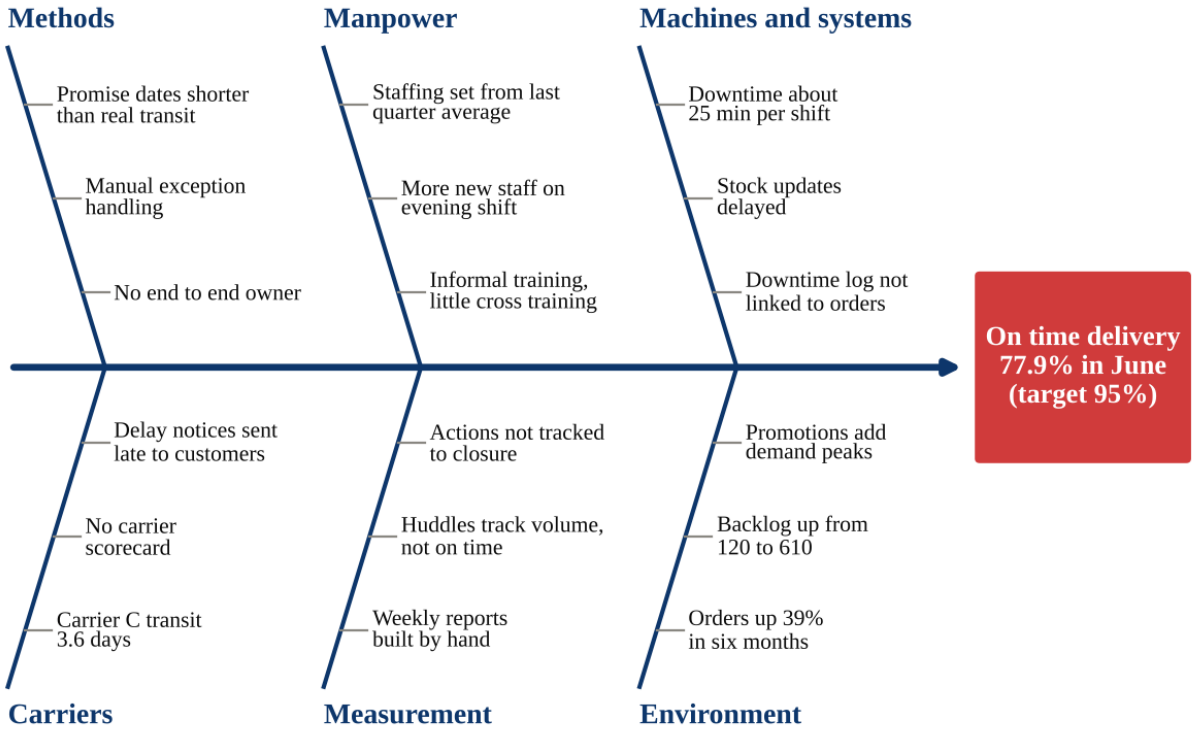


Figure 4. Fishbone (Ishikawa) diagram of causes of late delivery

3.2 What the data shows

The Pareto chart below counts the extra late orders that each driver adds to the 1,800 order sample, compared with the best group (3 day promise, Carrier A, or January to March). The first two drivers explain about 71% of the extra late orders in the sample.

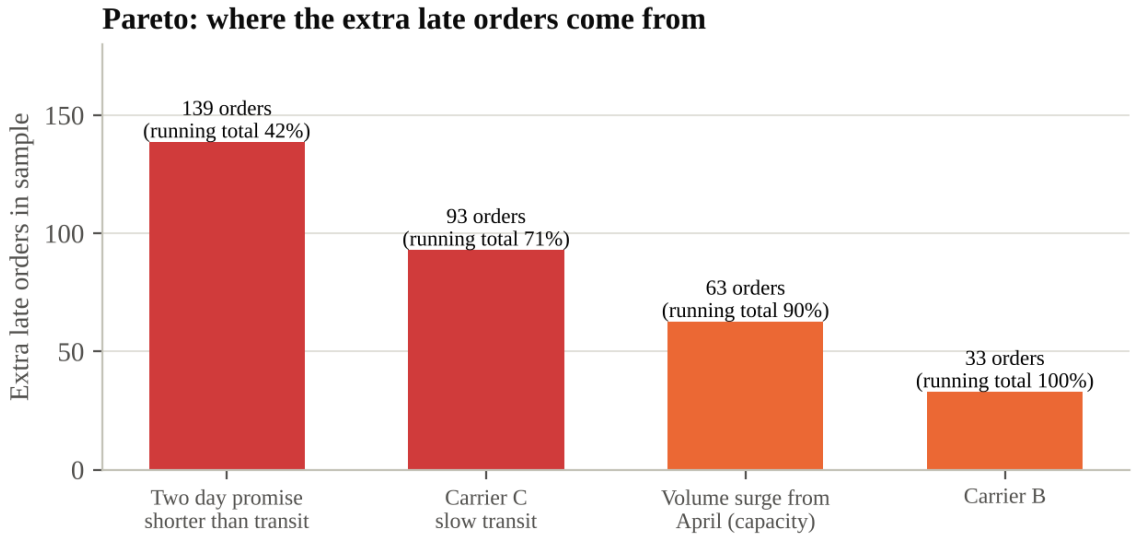


Figure 5. Pareto of extra late orders by driver (order sample)

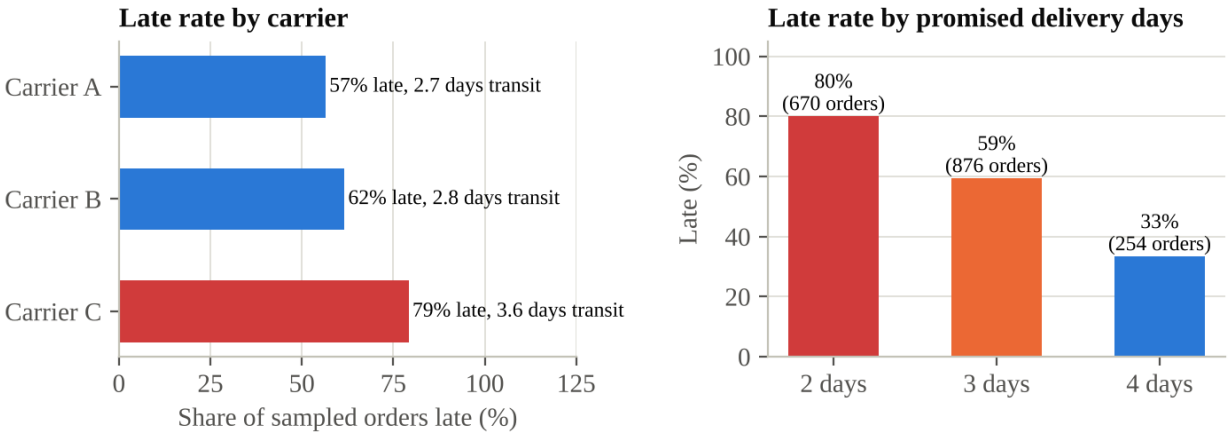


Figure 6. Late rate by carrier (left) and by promised delivery days (right)

When the two worst conditions meet, the result is almost certain failure: Carrier C orders with a 2 day promise were late 95% of the time. Carrier C was also the slowest in Islamabad (81% late), Karachi (83%) and Lahore (77%), so moving work between warehouses would not fix it.

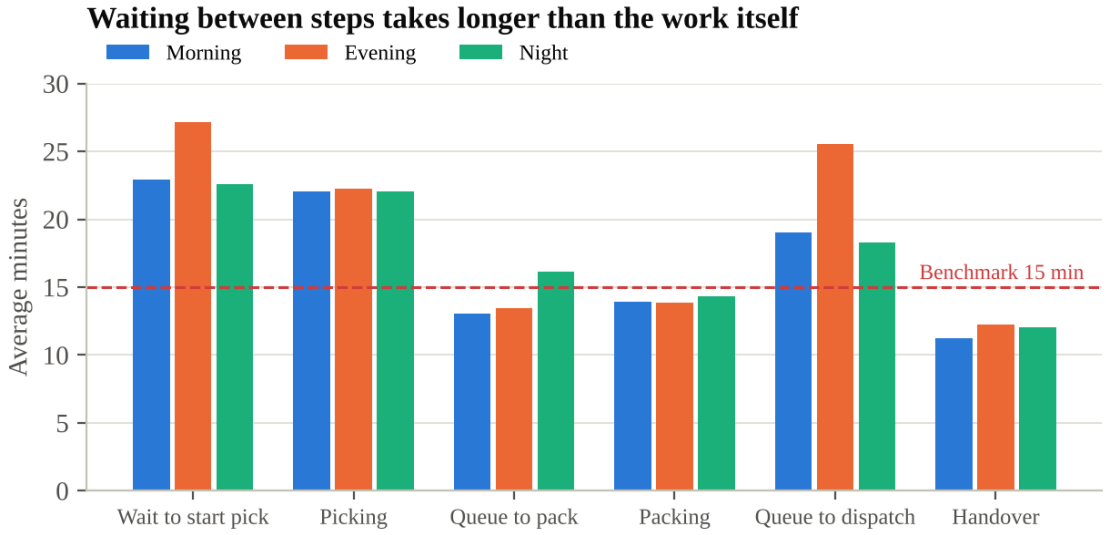


Figure 7. Average minutes per warehouse step by shift (500 process samples)

Picking and packing take about the same time on every shift. The difference is in the waiting. On the evening shift orders wait 27.2 minutes to start picking and 25.5 minutes before dispatch, and system downtime is 29.8 minutes per shift against about 20 on the other shifts. 85% of samples missed the 15 minute pick start benchmark and 68% missed the dispatch queue benchmark. Lahore, which handles half of all sampled orders, has the longest waits (27.7 and 24.0 minutes).

The order sample also shows a clear break in April. From January to March the average dispatch wait was about 13.5 minutes and picking took about 22 minutes. From April to June these rose to about 18.5 and 25 minutes. April is the month orders passed 9,800 and the backlog passed 300, which fits the idea that the warehouses ran out of capacity at that point. Staff with under 3 months of service pick slower (26.4 minutes against 22.4) and cost more to handle (PKR 187 against PKR 169 per order).

3.3 Five whys

Question	Answer from the evidence
Why is on time delivery 77.9% and not 95%?	More orders reach the customer after the promised date.
Why do they arrive late?	Orders leave the warehouse later because of backlog and queues, then some travel with a slow carrier on a promise that is shorter than normal transit.
Why is there backlog and queueing?	Orders grew 39% but staffing is still planned from last quarter's average, and downtime is highest on the busiest shift.
Why was the plan not changed as volume grew?	Problems are seen late. Reports are put together by hand each week, downtime is kept in a separate sheet, and carriers have no scorecard.
Why is nobody acting on it?	No one owns delivery from end to end. Each team looks after its own step, and huddles reward volume, not on time delivery.

3.4 Root causes

- Root cause 1: Workforce plan is not linked to the order forecast, so capacity falls behind demand (Manpower, Methods).
- Root cause 2: Promise dates are set without looking at real carrier transit time (Methods).
- Root cause 3: Carrier performance is not measured or managed, so Carrier C keeps a large share of volume (Carriers, Measurement).
- Root cause 4: Queues and downtime between warehouse steps are not controlled, mainly on the evening shift and in Lahore (Machines, Methods).
- Root cause 5: No end to end owner and no daily data loop, so the four causes above are not caught early (Measurement, Environment).

4. Capability Assessment

Ten capabilities were scored from 1 (very weak) to 5 (fully mature) by stakeholders. Every capability is below its target. The four with the biggest gaps that stakeholders also rate as high priority are Inventory Visibility, Continuous Improvement, Workforce Planning and Warehouse Operations. These four link directly to the root causes in section 3.

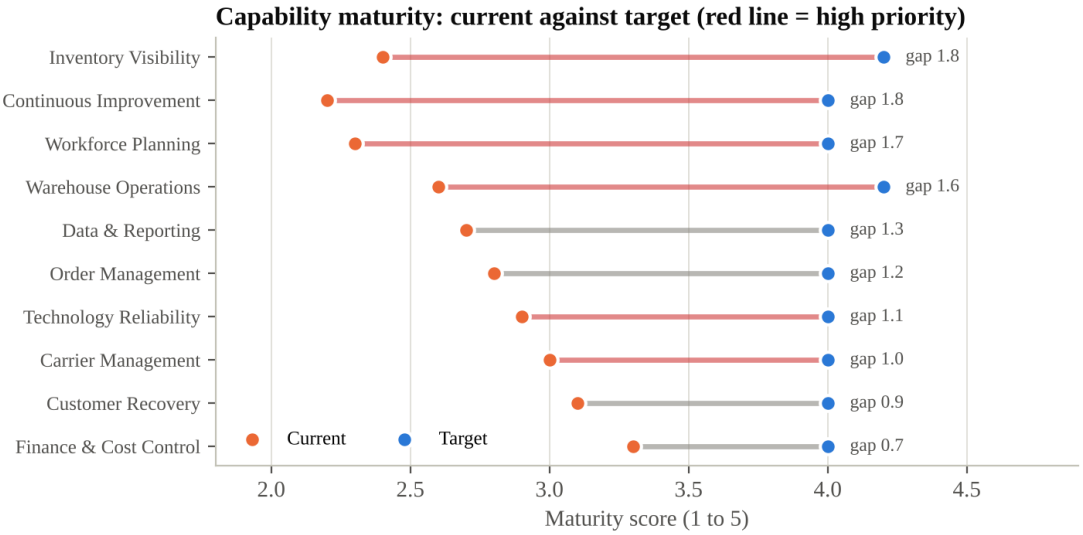


Figure 8. Current and target maturity for each capability

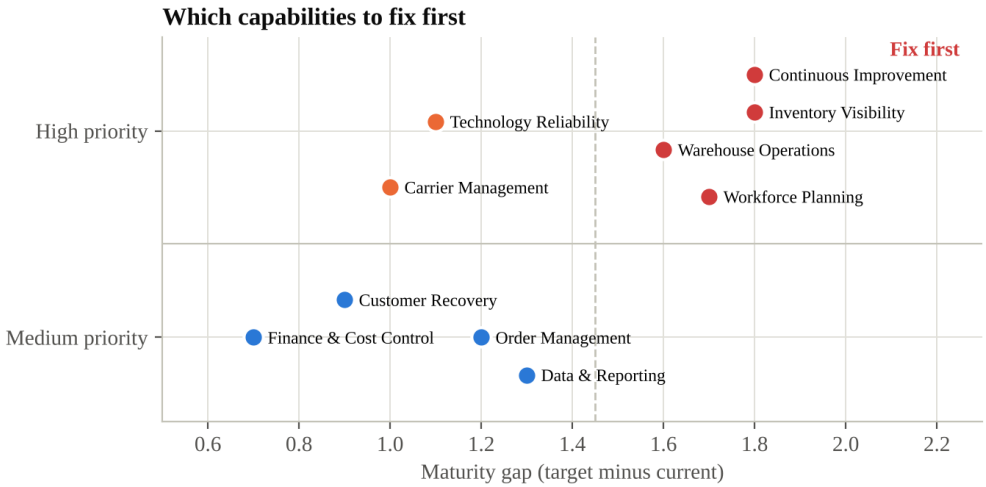


Figure 9. Capability gap against stakeholder priority

Capability	Now	Target	Gap	Priority	What the data says
Inventory Visibility	2.4	4.2	1.8	High	Stock mismatches and slow updates create manual exceptions and add waiting before pick.
Continuous Improvement	2.2	4.0	1.8	High	Actions are talked about but not closed. Decline continued for six months with no turnaround.
Workforce Planning	2.3	4.0	1.7	High	Staffing from averages while orders rose 39%. Backlog grew from 120 to 610.
Warehouse Operations	2.6	4.2	1.6	High	Pick start wait 24.9 min and dispatch queue 21.9 min against 15 min benchmark.
Data and Reporting	2.7	4.0	1.3	Medium	Weekly manual reports mean problems are found weeks late.
Order Management	2.8	4.0	1.2	Medium	Promise dates do not match transit. Many orders need manual handling.
Technology Reliability	2.9	4.0	1.1	High	About 25 min downtime per shift, 29.8 min on evening shift, not linked to orders.

Capability	Now	Target	Gap	Priority	What the data says
Carrier Management	3.0	4.0	1.0	High	Carrier C 79% late against 57% for Carrier A, with no scorecard in reviews.
Customer Recovery	3.1	4.0	0.9	Medium	Customers often call before they get a delay message. Complaints up from 18 to 43 per 1000.
Finance and Cost Control	3.3	4.0	0.7	Medium	Cost per order up from PKR 185 to 229 from overtime and re delivery.

Carrier Management and Technology Reliability have smaller gaps on paper, but the data shows they cause a large share of late orders. Their scores may be too generous and should be checked again once the carrier scorecard and downtime link are in place.

5. McKinsey 7S Assessment

The McKinsey 7S model looks at seven parts of an organisation and asks whether they support each other. Strategy, Structure and Systems are the hard elements. Shared Values, Style, Staff and Skills are the soft elements. When one part changes, such as a strategy of fast growth, the others must change with it. Here the strategy changed but most other parts stayed the same.

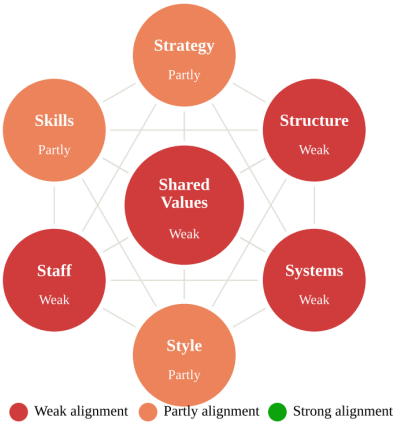


Figure 10. McKinsey 7S alignment rating for each element

Element	Evidence from the data	Rating	What should change
Strategy	Growth and customer experience are the goals, but capacity planning did not keep pace with 39% order growth.	Partly aligned	Add on time delivery 95% as a growth condition and plan capacity from the forecast.
Structure	Warehouse, customer service and carrier teams report to separate managers. No owner for the full order to delivery journey.	Weak	Name one end to end delivery owner with authority across the three teams.
Systems	Weekly reports made by hand. Stock updates and downtime logs not joined to orders. No carrier scorecard.	Weak	Daily automated dashboard, downtime linked to orders, weekly carrier scorecard.
Shared Values	Teams say the customer matters, but daily huddles look mainly at order volume.	Weak	Make on time delivery the first number in every huddle.
Style	Managers react to big incidents, but routine trend reviews differ by warehouse. The six month decline went unchecked.	Partly aligned	Same weekly review routine in all warehouses with an action tracker.
Staff	Staffing is based on historical averages. Evening shift carries the most volume (47% of orders) and the longest queues.	Weak	Forecast based shift rosters, extra evening cover, flexible staff for peaks.
Skills	Training is informal. New staff pick 18% slower. Little cross training in stock exceptions and carrier escalation.	Partly aligned	Structured induction and cross training plan per shift.

The main finding is a misalignment between Strategy and the other six elements. The company chose growth, but the Structure, Systems and Staff that should carry that growth were left as they were. Shared Values sit at the centre of the model, and here they push teams toward volume instead of the customer promise. Until values and structure change, fixing only the process will give a short gain that fades.

6. Nadler Tushman Congruence Model

The Nadler Tushman model sees the organisation as a system. Inputs (resources, environment, history) and strategy feed a transformation process made of four parts: the Work, the People, the Formal Organisation and the Informal Organisation. The outputs are good only when these four parts fit each other. A poor fit between any two parts lowers performance.

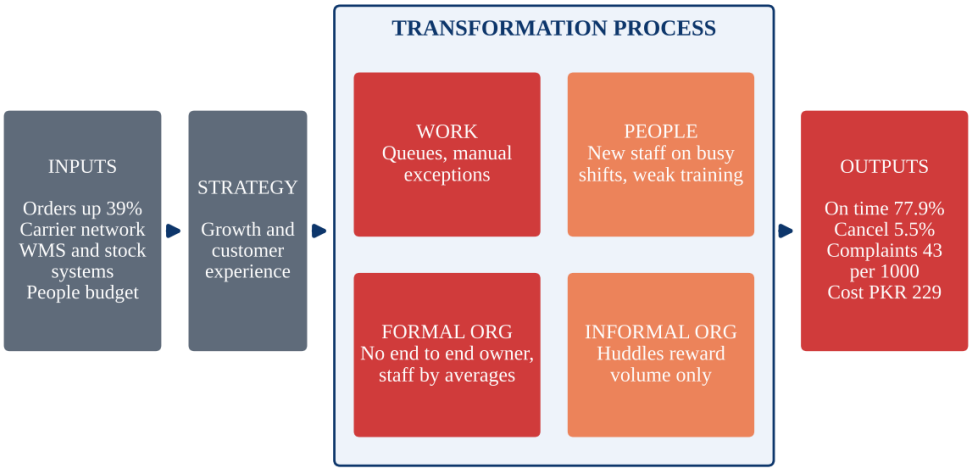


Figure 11. Nadler Tushman model for the delivery operation

6.1 Congruence between the four parts

Fit between	Fit	Reason
Work and People	Low	Work volume rose 39% and needs fast exception handling, but new staff pick 18% slower and cross training is informal.
Work and Formal Organisation	Low	The work flows across warehouse, carrier and customer service, but each is managed apart and staffing is not tied to demand.
Work and Informal Organisation	Low	Teams clear their own queue first. Orders then wait 22 minutes before dispatch and 25 minutes before picking.
People and Formal Organisation	Medium	Induction exists, but cross training depends on each supervisor and no role owns skill coverage by shift.
People and Informal Organisation	Medium	Staff care about customers, but the volume focus of huddles shapes daily behaviour.
Formal and Informal Organisation	Low	With no end to end owner, local habits fill the gap and nobody connects downtime, carriers and backlog.

6.2 Link to outputs

Four of the six fits are low, and every output is below target in June: on time delivery 77.9% (target 95%), cancellations 5.5% (limit 2.5%), cost per order PKR 229 (limit 190) and complaints 43 per 1000 orders. The model also explains why the outputs move together. Late orders lead to complaints and cancellations, and the fixes used today, overtime and re delivery, push the cost up.

6.3 How the two models agree

Both models arrive at the same picture. The 7S review shows that strategy moved ahead of structure, systems and staff. The Nadler Tushman review shows the same gap at the level of daily work, where the formal and informal organisation do not fit the larger and faster flow of orders. Both point to the same first actions: one owner, a forecast based staffing plan, and data that is reviewed every day.

7. Action Plan to Reach 95%

The chart below shows how each action could lift on time delivery. These are planning estimates based on the gaps in this report, not measured results. They should be tracked monthly and adjusted.

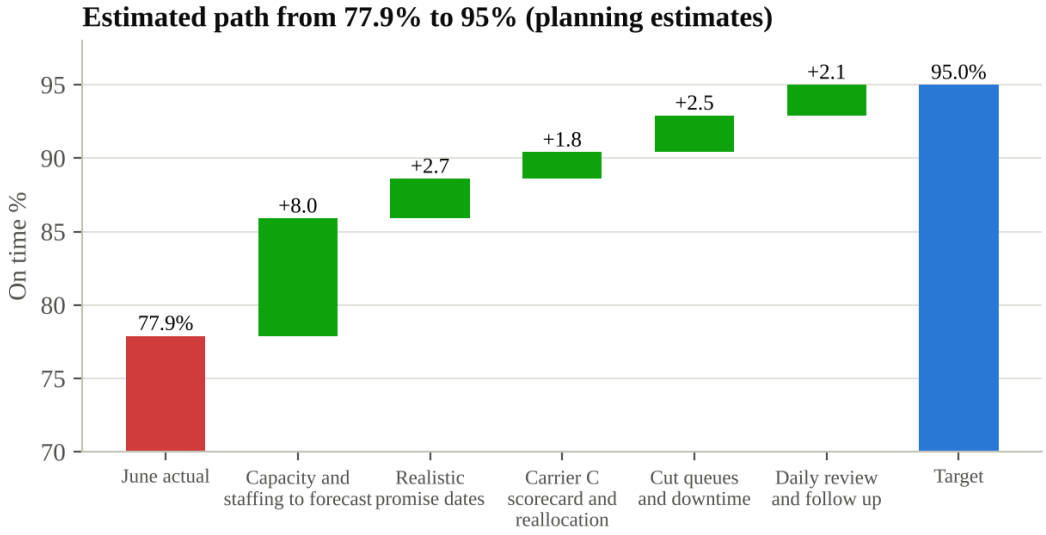


Figure 12. Estimated contribution of each action (planning estimates)

Action	Root cause	Owner	Timing	Success measure
Appoint one end to end delivery owner and start a daily on time huddle with an action tracker	5	Operations Director	Month 1	Daily review held, actions closed on time
Build shift rosters from the order forecast, add evening cover and a flexible staff pool for peaks	1	Warehouse Managers, HR	Months 1 to 3	Day end backlog under 150 orders
Set promise dates from real carrier and city transit times, stop 2 day promises where transit is longer	2	Commercial Operations	Month 1 to 2	Late rate of 2 day promises equal to 3 day
Weekly carrier scorecard, move volume from Carrier C to A and B, add service penalties	3	Carrier Coordinator	Months 1 to 3	Carrier C late rate at Carrier A level
Start picking within 15 minutes using waves, plan dispatch cut off times, focus on Lahore evening	4	Warehouse Managers	Months 2 to 4	Pick start and dispatch queue under 15 min

Action	Root cause	Owner	Timing	Success measure
Link the downtime log to orders and fix the main causes of evening downtime	4	IT Support	Months 2 to 4	Downtime under 10 min per shift
Replace weekly manual reports with the Power BI dashboard refreshed daily	5	Data and Reporting	Month 1	Dashboard used in every review
Send delay messages before the customer calls	5	Customer Service	Month 2	Complaints under 20 per 1000

8. Data Notes

- The 95% target and the 77.9% June result come from the Monthly KPIs table, which covers every order.
- The 1,800 order sample shows 63.5% of orders flagged late, which is far higher than the monthly figures of 8.5% to 22.1%. The sample seems to include more problem orders than normal, so it is used here only to compare groups (carrier, promise, shift), not to measure the overall rate.
- The interview claim that the evening shift has many more new staff is only weakly supported: 26% of evening orders were handled by staff under 3 months, against 24% to 27% on other shifts.
- Capability scores are early stakeholder ratings and should be confirmed with a wider survey.
- The Pareto counts and the bridge estimates overlap in part, because some late orders have more than one cause.